

had a higher opinion of the business than Wall Street did. Dealerships, of course, sell and repair cars. Selling cars is volatile, which makes this part of the business difficult to value, but fixing them is stable, predictable, and lucrative. We believed the market was too focused on the former, not enough on the latter. When researching the industry, we came across David Rosenberg, who has spent his life in the automobile business. His father, Ira, was a legendary auto dealer who operated a well-known chain in New England, and David had worked there as a teenager. When we first met him, he was a manager for Group 1 Automotive, one of the companies we owned. He deepened our understanding of the business, and we struck up a friendship. An entrepreneur at heart, David left Group 1 a year or two later, hoping to find dealerships to purchase and run. He soon reached an agreement to buy 11 franchises and two body shops from the Clair family. Its patriarch, Ernie Clair, had left the stores to his children when he died, but their heart wasn't in it, operations languished, profits shrank, and within a few years they were ready to exit. David needed capital to complete the deal and approached us about providing it.

David believed the franchises were dramatically underperforming and thought he could turn them around. I have heard many pitches over the years, during which the buyer claims she or he can breathe life into a company's operations because prior management had done a poor job. Often, the hoped-for improvements don't materialize, so I was skeptical of David's claims. He took us through his analysis line by line and showed us how \$250,000 could be saved here, another \$500,000 there. None of the changes seemed difficult. We decided to back him even though the price was high relative to the company's then-current earnings. After closing, the company was renamed Prime Motor Group.

Warren Buffett has reportedly said that you should buy a business any fool could run because eventually one will. But the human